

Marketing: Session 1

Introduction

What is marketing?





St. Regis or Waldorf?

B2B: Servers



Specification	Dell PowerEdge R740	HPE ProLiant DL380 Gen10
Form Factor	2U Rack Server	2U Rack Server
Processor Support	Up to 2x Intel® Xeon® Scalable processors, up to 28 cores per processor	Up to 2x Intel® Xeon® Scalable processors, up to 28 cores per processor
Memory Capacity	Up to 3 TB DDR4, 24 DIMM slots	Up to 3 TB DDR4, 24 DIMM slots
Storage Options	Up to 16 x 2.5" or 8 x 3.5" SAS/SATA drives; NVMe support	Up to 12 x 3.5" or 20 x 2.5" SAS/SATA drives; NVMe support
Expansion Slots	Up to 8 PCIe 3.0 slots	Up to 8 PCIe 3.0 slots
Network Interface	Multiple options including 4 x 1GbE, 2 x 10GbE + 2 x 1GbE, or 4 x 10GbE	Embedded 4 x 1GbE; optional FlexibleLOM for additional networking
Power Supply Options	Redundant 495W, 750W, or 1100W AC	Redundant 500W, 800W, or 1600W AC
Management	iDRAC9 with Lifecycle Controller	HPE iLO 5
Dimensions (H x W x D)	3.4" x 17.1" x 28.17" (86.8 mm x 434 mm x 715.5 mm)	3.44" x 17.54" x 26.75" (87.3 mm x 445.5 mm x 679.4 mm)
Weight	Up to 63.05 lbs (28.6 kg)	Approximately 61.7 lbs (28 kg)

B2B: Excavators



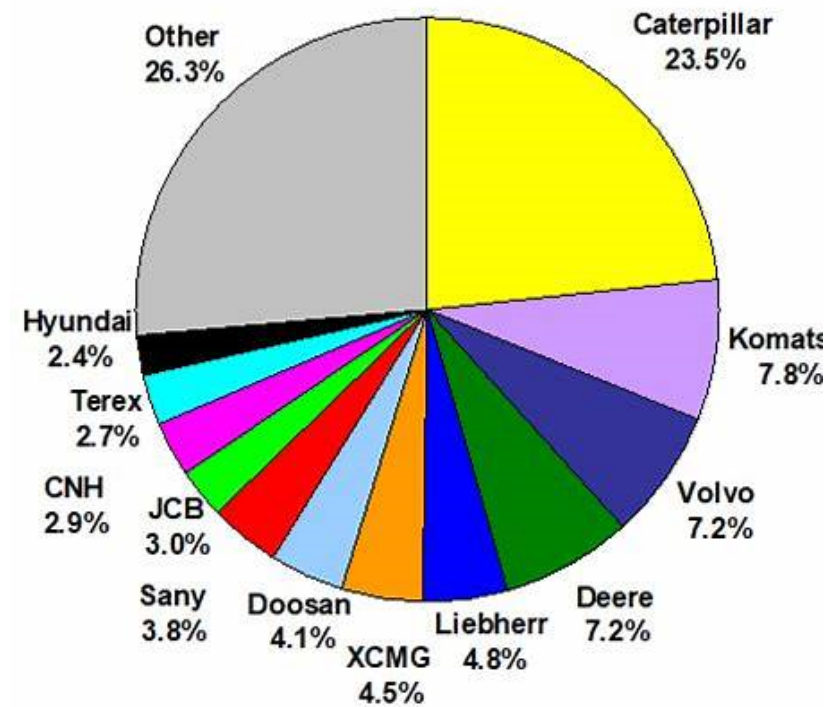
LIEBHERR



HITACHI



KOMATSU



Source: Warranty Week

What is marketing's challenge?

- Finance vs Marketing
 - Domino's marketers debated a range of strategies, including offering a free pizza to every American, an idea the finance team nixed.
 - Subway \$5 footlong sandwich
- Role of Data & Analytics
- Finance + Marketing

What are marketing's roles?

- Demand generation
- Brand building
- Societal impact

What is the basic framework for marketing?

What is the basic framework for marketing?

- Strategy
- Tactics

What is the basic framework for marketing?

- Strategy
 - Customer
 - Company
 - Competition
 - (...and the larger ecosystem)
- Tactics

What is the basic framework for marketing?

- Strategy
 - Customer
 - Company
 - Competition
 - (...and the larger ecosystem)
- Tactics
 - Product
 - Price
 - Promotion
 - Place

Marketing: Session 1

Customer Analysis I – Segmentation & Targeting

Why customer analysis is important

THE WALL STREET JOURNAL.

Pradeep Chintagunta ▼

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Signature Bank's Quirky Mix of Customers Fueled Its Rise and Hastened Its Fall

Foray into crypto set the stage for a deposit run that overwhelmed the New York lender in a matter of hours

PHOTO-ILLUSTRATION BY ALEXANDRA CITRIN-SAFADI

Why customer analysis is important

[Signature Bank](#) [SBNY -1.27% ▼](#) built a business around a collection of niches.

The New York bank [juiced its growth](#) by combining a traditional commercial real-estate business with divisions catering to customers too small or complicated for its crosstown Wall Street rivals: entrepreneurs and law firms, taxi drivers and crypto companies. Red tape was minimal and customer service was a top priority.

“They opened me an account pretty quickly,” said Anna Sorokin, who [was convicted of stealing from the bank](#) to fund the glitzy Manhattan lifestyle of pretend German socialite Anna Delvey.

Signature’s strategy delivered steady profit and rapid growth, making it among the highest-valued banks in America. Yet it ultimately hastened its own undoing: [The bank failed](#) after its tightknit clientele drained their accounts in a panic.

One banker liked to boast that he often spent most of his week golfing with prospective clients.

Its personalized service and connections to the New York real-estate world gave it ties to a colorful cast of characters. Its board of directors, at different times, included Ivanka Trump and former congressman Barney Frank.

The lender stood by customer and hip-hop producer Irv “Gotti” Lorenzo when he was facing money-laundering charges in 2005. After he was acquitted, Mr. Lorenzo persuaded friends, including rapper Ja Rule, to become customers, too.

After the 2008 financial crisis, Signature’s style of relationship banking gained favor with investors and customers alike. Loans and deposits routinely grew by double-digit percentages, far outpacing crisis-scarred banks such as [JPMorgan Chase](#) & Co. and [Bank of America](#) Corp. It rarely lost money on loans.

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Why customer analysis is important - KYC

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How to do customer analysis? 4-steps

1. Understand customer need-space based on their wants, desires, attitudes and behaviors
2. Understand differences across customers in their need-spaces
3. Match need-spaces with firm capabilities to zoom in on some customers
4. Convince matched customers to buy / adopt your product or service
– capturing mind-space

How do we do customer analysis?

STEP 1: Understand customer need-space based on their wants, desires, attitudes and behaviors

- a) What types of needs do customers have?

What types of needs do customers have?

1. Functional needs

- [S1](#), [Car 1](#); [Car 2](#); [Car 3](#), [Masterpiece](#)

2. Emotional needs

- [S2](#), [Ad 1](#); [Ad 2](#); [Juan & Sarah](#); [EA1](#); [B2B1](#); [B2B2](#); [Last Straw](#)

3. Social needs

- [Car 4](#)
- “Honored and humbled.....”



How do we do customer analysis?

STEP 1: Understand customer need-space based on their wants, desires, attitudes and behaviors

- a) What types of needs do customers have?
- b) How do we go about understanding them?

How do we go about understanding the needs?

- Market Research
 - Standard Methods?

Methods for Market Research

- Exploratory research
 - Focus groups
 - In-depth interviews
 - Ethnographic research
- Descriptive research
 - Scanner data, online browsing and purchase data
 - Surveys and survey-based analyses
- Causal research
 - Experiments (A/B testing)

IKEA – BBC

- To better understand Indian consumers, Ikea visited more than 2,000 households with varying incomes in different cities. It placed furniture, home furnishing accessories and kitchens in many homes and tested them to see how they fared in the country's hot, humid and dusty cities.
 - The average home in Hyderabad, for example, was double that of a home in Mumbai. So Ikea offered more vertical storage options in Mumbai, which has a lot of "small-space living". Here, consumers were also more likely to buy a sofa-cum-bed - a sofa which can be converted into a bed.
 - In Hyderabad, consumers were likely to buy bigger sofas and more beds. The bedrooms on display at the stores in Hyderabad and Mumbai reflected these differences in space and size, according to Ms Rao. "Preferences and solutions are different in every Indian city," she said.

How do we go about understanding the needs?

- Market Research
 - Standard Methods?
 - Tools that could help uncover **unarticulated** needs

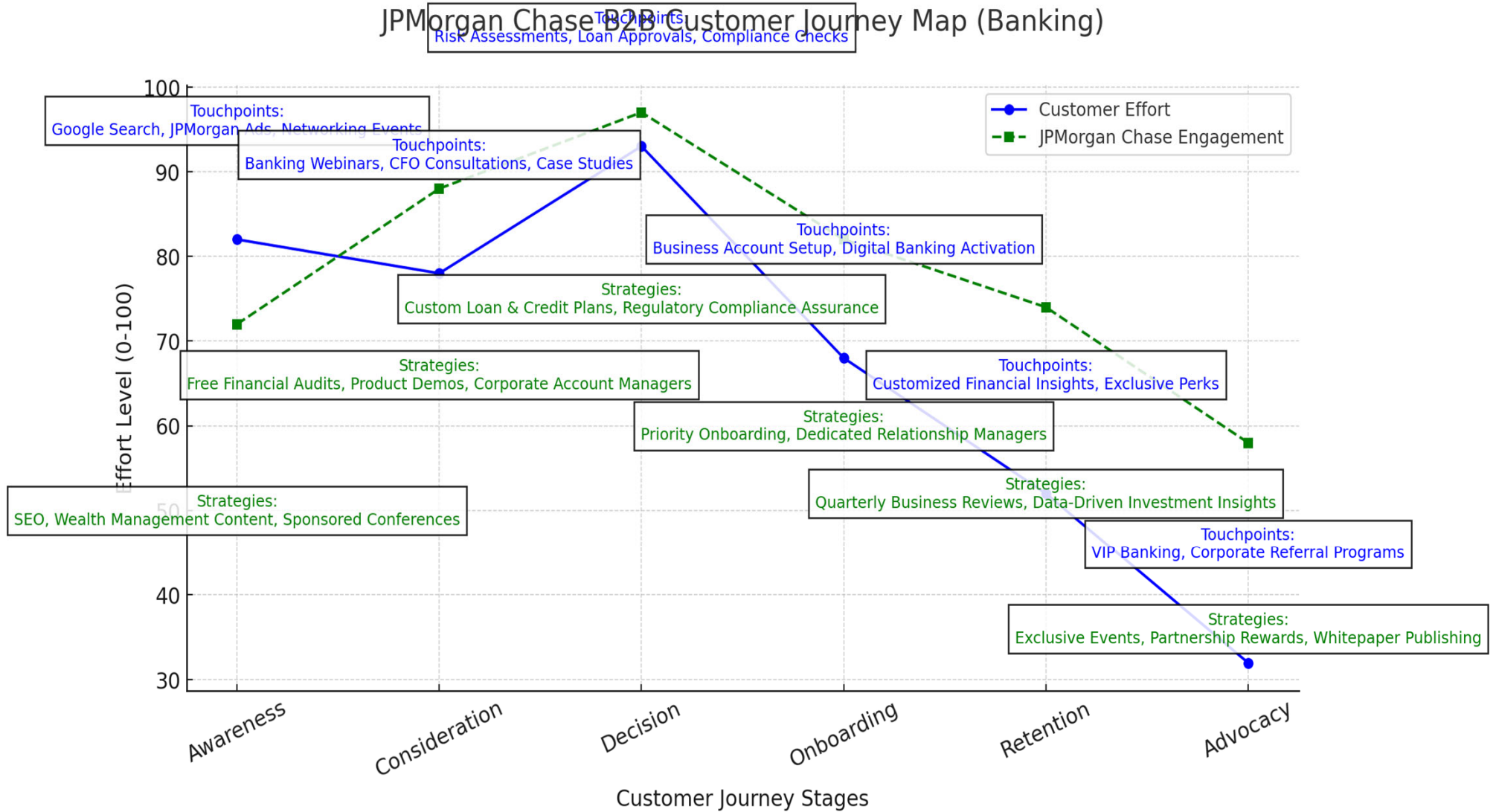
Tools to uncover unarticulated needs

- Mapping customer journeys
- Mapping the consumption chain
- Understanding “jobs to be done”
- Identify and break compromise

A multinational corporation applying for a high-value credit

Stage	Touchpoints	JPMorgan Chase's Strategies
Awareness	Google Search, Ads, Networking Events	SEO, Sponsored Conferences, Wealth Management Content
Consideration	Banking Webinars, CFO Consultations	Free Financial Audits, Product Demos, Relationship Managers
Decision	Risk Assessments, Loan Approvals	Custom Loan & Credit Plans, Compliance Assurance
Onboarding	Account Setup, Digital Banking Activation	Priority Onboarding, Dedicated Banking Experts
Retention	Customized Insights, Exclusive Perks	Quarterly Business Reviews, AI-Based Financial Planning
Advocacy	VIP Banking, Corporate Referral Programs	Exclusive Events, Partnership Rewards, Brand Publications

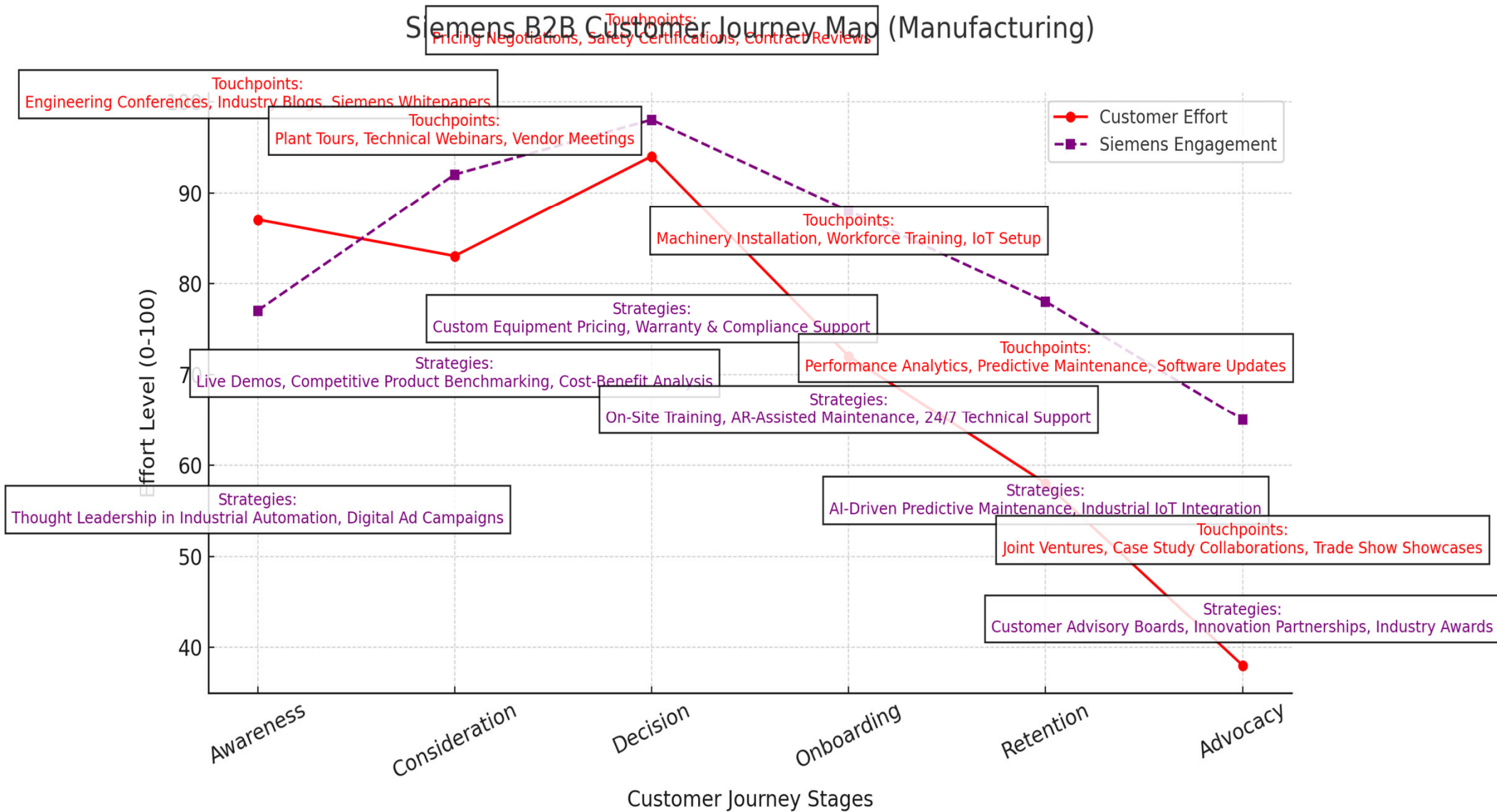
JPMorgan Chase B2B Customer Journey Map (Banking)



A factory purchasing Siemens' automation solutions

Stage	Touchpoints	Siemens' Strategies
Awareness	Industry Blogs, Siemens Whitepapers	Thought Leadership, Digital Ad Campaigns
Consideration	Plant Tours, Webinars, Vendor Meetings	Live Demos, ROI Analysis, Competitive Benchmarking
Decision	Pricing Negotiations, Certifications	Custom Equipment Pricing, Compliance Assurance
Onboarding	Machinery Installation, IoT Setup	On-Site Training, Augmented Reality Maintenance
Retention	Predictive Maintenance, Analytics	AI-Based Monitoring, Proactive Service Support
Advocacy	Joint Ventures, Trade Show Showcases	Customer Success Stories, Industry Partnerships

Siemens B2B Customer Journey Map (Manufacturing)



How do we do customer analysis?

STEP 1: Understand customer need-space (wants, desires)

STEP 2: Understand differences across customers in their need-spaces

- Customers have diverse need spaces

Different tastes



Vanilla ice cream with chocolate chip cookie dough.



Vanilla ice cream with strawberries and fudge-covered shortbread.

Different tastes



Rice

wheat gluten

sugar

defatted wheat germ

contains 2% or less of salt

malt flavor

BHT for freshness

Vitamins and Minerals:

Reduced iron

vitamin C (ascorbic acid)

niacinamide

vitamin E acetate

beta-carotene

folic acid

vitamin B6 (pyridoxine hydrochloride)

vitamin B1 (thiamin hydrochloride)

vitamin B2 (riboflavin)

vitamin D3

vitamin B12



INGREDIENTS: Rice (47%), **wholewheat** (37%), sugar, **barley** (5%), malted **barley** flour, salt, **barley** malt extract, niacin, iron, zinc, riboflavin, thiamin, vitamin B6, folic acid, vitamin D, vitamin B12.

Different tastes



How do we do customer analysis?

STEP 1: Understand customer need-space (wants, desires)

STEP 2: Understand differences across customers in their need-spaces

- Customers have diverse need spaces
- Assess the **degree of heterogeneity** and figure out how do we go about meeting them?
 - Together
 - Groups
 - Individually

Meeting needs in groups - Segmentation

- Role of data

- A retailer looks at data from his customers
- Customers differ on 2 dimensions – Frequency (#) and Spend (\$)
- Median split gives 4 segments
- Retailer now wants to target other individuals who look like the Hi-Hi group. How?
- Needs to think of some characteristics to describes Hi-Hi customers that can be used to contact them
- So retailer asks the question: Who are the customers in the different groups?
- To target the “high-high” segment need to reach > 60K with at least 1 kid

Hi Frequency	< 60,000 At least 1 Kid	> 60,000 At least 1 Kid
Lo Frequency	< 60,000 0 Kids	> 60,000 0 Kids
	Lo \$	Hi \$

Segmentation Terminology

- **Bases:** Needs, Attitudes, **Behaviors**
 - Frequency, Spend (CLV)
- **Descriptors:** Can be used to target
 - Income, # Kids

Segmentation at Salesforce

Customer Needs (Bases)	Segment (descriptors)	Salesforce's Offering
Easy-to-use, affordable CRM, automation for small teams	Small businesses & startups	Salesforce Essentials (simplified CRM with automation)
Scalable CRM, marketing, sales automation for growth-stage businesses	Mid-sized companies	Salesforce Professional (advanced workflows & integrations)
Custom CRM, AI-powered insights, enterprise-grade security	Large enterprises	Salesforce Enterprise & Unlimited (AI, predictive analytics, API integration)
AI-driven sales forecasting & customer insights	Enterprise sales teams	Salesforce Einstein AI (AI-based analytics & automation)
Industry-specific CRM solutions	Healthcare, finance, retail, government	Salesforce Health Cloud, Financial Cloud, Commerce Cloud, GovCloud
Personalized customer experience & multi-channel marketing	E-commerce & retail	Salesforce Commerce Cloud & Marketing Cloud

Segmentation at Siemens

Customer Needs (Bases)	Segment (Descriptors)	Siemens' Offering
Smart factories, IoT integration, production efficiency	Manufacturing & Automation	Siemens Digital Industries, MindSphere IoT
Renewable energy, smart grids, energy storage	Energy & Utilities	Siemens Energy, wind turbines, grid solutions
AI diagnostics, advanced imaging, operational efficiency	Healthcare & Medical Devices	Siemens Healthineers (MRI, CT, X-ray)
Smart city solutions, rail electrification, automation	Mobility & Smart Infrastructure	Siemens Mobility (trains, automation systems)
AI, cloud-based automation, predictive maintenance	Large enterprises (smart factories, hospitals, utilities)	Digital Twins, AI-powered analytics
Scalable automation, cost-effective solutions	SMEs (mid-tier manufacturers, hospitals, infrastructure projects)	Modular automation, affordable MRI scanners

Segmentation

- *What do they want (NAB /Bases variables)?*
- *Who are they (Descriptor variables)?*
- Typically many of these but we only want to deal with a few segments:
Cluster analysis
 - Compute “distance” between every pair of respondents using bases variables
 - Put respondents into groups such that ratio of within group to across group variance is minimized
 - Online – use tools like Collaborative filtering

Segmentation

- *Cluster analysis*
 - Compute “distance” between every pair of customers using bases variables
 - Put customers into groups such that ratio of within group to across group variance is minimized
 - Online – use tools like Collaborative filtering

Cluster analysis: What do the data look like?

Customer / Bases Variables	Environmentally Conscious	Price Conscious	Cares about Convenience	Shopping Time Matters	Cares about Fitness
1	1	6	7	6	6
2	2	7	6	6	6
3	1	5	6	7	3
4	1	7	4	4	6
5	3	5	3	4	6
6	2	6	2	3	6
7	3	6	3	2	6
8	1	5	7	5	5
9	1	4	6	4	1
10	1	2	2	2	6

Bases Variables

Descriptor Variables

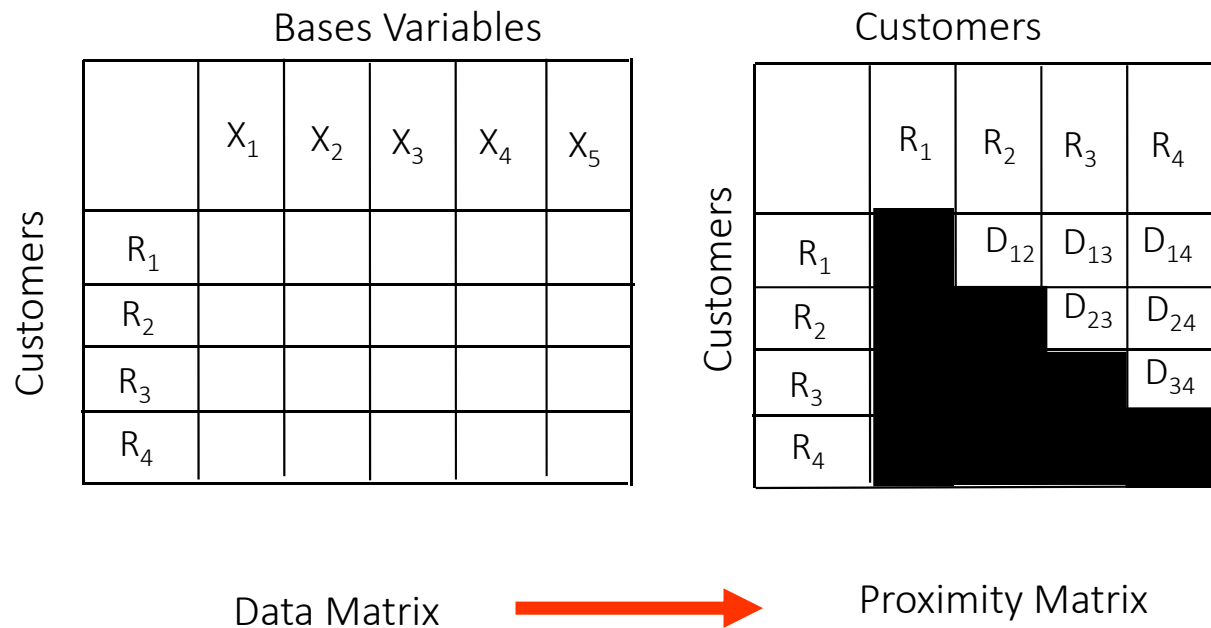
Customer / Descriptor Variables	Age	Income	Education
1	4	4	2
2	2	4	2
3	3	1	1
4	3	4	2
5	3	1	3
6	3	4	2
7	2	2	2
8	3	1	1
9	2	3	1
10	2	4	2

Steps in Cluster Analysis

- Step 1:
 - Create a table of relative similarities or differences between all pairs of objects (a Proximity Matrix).
- Step 2:
 - Use this information to combine objects into groups.

<http://shabal.in/visuals/kmeans/4.html>

A Proximity Matrix



D_{ij} is the proximity or distance between customers i and j

Proximity Matrix: Example from Segmentation_REV.XLS

Customers

	X_1	X_2	X_3	X_4	X_5
R_1	1	6	7	6	6
R_2	2	7	6	6	6
R_3	1	5	6	7	3
R_4	1	7	4	4	6

Data Matrix

Customers

	R_1	R_2	R_3	R_4
R_1		3	12	
R_2				
R_3				
R_4				

Proximity Matrix

Customers

	R_1	R_2	R_3	R_4
R_1		3	12	
R_2				
R_3				
R_4				

Proximity Matrix

D_{ij} is the proximity or distance between customers i and j

$$D_{12} = (1-2)^2 + (6-7)^2 + (7-6)^2 + (6-6)^2 + (6-6)^2 = 1+1+1+0+0 = 3$$

$$D_{13} = (1-1)^2 + (6-5)^2 + (7-6)^2 + (6-7)^2 + (6-3)^2 = 0+1+1+1+9 = 12$$

Interpreting Cluster Analysis Results

- Select the appropriate number of clusters:
 - Are the clusters separated well from each other?
 - Can you come up with descriptive names for each cluster (eg, professionals, techno-savvy, etc.)?
 - Is the number of segments reasonable from a managerial perspective?

Having segmented the market, what do we do next?

- We need to approach the “right” set of customers - Targeting

How do we do customer analysis?

STEP 1: Understand customer need-space (wants, desires)

STEP 2: Understand differences across customers in their need-spaces

STEP 3: Match need-spaces with firm capabilities to zoom in on some customers

Targeting: Matching need-spaces with firm capabilities

- Segments are more or less attractive depending on factors such as size, growth rate, loyalty, competitive intensity, etc.
 - Domino's Emergency Pizza; Shein / Temu – Amazon – Blinkit / Zepto; Adidas / Nike in China
- The firm has various capabilities – manufacturing, after-sales service, strong sales and distribution network, etc.
 - J&J Covid vaccine; Adobe from software to SaaS; US Wine; AIG in China
- Targeting requires matching segment attractiveness to company strengths
 - Blockbuster in Germany

How to target? GE/McKinsey Matrix

- Identify attractiveness factors & rate each of the segments (identified via segmentation analysis) on each factor
- Weight factors by relative importance (same across segments)
- Compute weighted sum to get attractiveness index for each segment
- Repeat exercise with company strengths vis-à-vis each segment

<https://www.mckinsey.com/capabilities/strategy-and-corporate-finance/our-insights/enduring-ideas-the-ge-and-mckinsey-nine-box-matrix#>

Computing a segment attractiveness score

Consider 2 segments identified through cluster analysis

	WEIGHT	RATING (0-10)	TOTAL
Segment 1 attractiveness factors			
Customer (unmet?) needs and behavior	.5	10	5.0
Segment size and growth rate	.3	7	2.1
Macro trends	.2	8	1.6
Total: Segment attractiveness (SEG 1)	1.0		8.7
Segment 2 attractiveness factors			
Customer (unmet?) needs and behavior	.5	7	3.5
Segment size and growth rate	.3	9	2.7
Macro trends	.2	9	1.8
Total: Segment attractiveness (SEG 2)	1.0		8.0

Now repeat the exercise for company strengths & capabilities

Focus on segment 1

	WEIGHT	RATING (0-10)	TOTAL
Segment attractiveness factors			
Customer (unmet?) needs and behavior	.5	10	5.0
Segment size and growth rate	.3	7	2.1
Macro trends	.2	8	1.6
Total: Segment attractiveness (SEG 1)	1.0		8.7
Firm position factors			
Opportunity for competitive advantage	.6	9	5.4
Capabilities and resources	.2	7	1.4
USP for market	.2	6	1.2
Total: Firm position (SEG 1)	1.0		8.0

Now repeat the exercise for company strengths & capabilities

Focus on segment 2

	WEIGHT	RATING (0-10)	TOTAL
Segment attractiveness factors			
Customer (unmet?) needs and behavior	.5	7	3.5
Segment size and growth rate	.3	9	2.7
Macro trends	.2	9	1.8
Total: Segment attractiveness (SEG 2)	1.0		8.0
Firm position factors			
Opportunity for competitive advantage	.6	7	4.2
Capabilities and resources	.2	5	1.0
USP for market	.2	9	1.8
Total: Firm position (SEG 2)	1.0		7.0

MultiFactor Targeting Matrix

Segment
Attractiveness

High (8-10)		Seg 2	Seg 1
Moderate (4-7)			
Low (0-3)			
	Low (0-3)	Moderate (4-7)	High (8-10)

Dealing with subjectivity?

Firm's Position

Online targeting and personalization

- Marketers need to balance targeting accuracy with data privacy. The shift is moving toward:
 - ✓ First-party & zero-party data
 - ✓ On-device processing (AI, federated learning)
 - ✓ Contextual & cohort-based targeting
 - ✓ Privacy-compliant analytics (differential privacy, synthetic data)

Key Takeaways – Customer Analysis

- Framework
 - Market research, segmentation, targeting, positioning
- STEP 1: Market Research
 - Understand Needs, Attitudes & Behaviors
- STEP 2: Segment
 - Understanding *differences* across customers in their need-spaces
 - What (Bases) variables & Who (Descriptor) variables
- STEP 3: Target
 - Matching need-spaces with company capabilities
 - Map segment attractiveness to company strengths
- STEP 4: Position
 - Convincing consumers in target segment to buy / adopt our product
 - Articulate Audience, Benefit, Compelling reason
- Tools
 - Customer journey mapping, consumption chain analysis, cluster analysis, behavioral targeting